

shareholders that had been driven up by the intervening bidding process. The payments were financed by liquidating the reserves, and thus served much the same function as the royalty trust, the underlying motive for which—the channeling of free cash flow to the shareholders—was the same as that of another technique for realizing value: the leveraged buyout.

Thus Pickens royalty trust was, like the LBO, simply another mechanism for solving what Michael C. Jensen—an economist who has undertaken research into agency theory and a professor emeritus at Harvard—described as the “agency costs of free cash flow.”³⁰ Jensen proposed that excess free cash flow created a conflict of interest between shareholders and managers over payout policies. The problem, according to Jensen, was how to motivate managers to “disgorge the cash rather than [invest] it at below the cost of capital or wast[e] it on organization inefficiencies,”³¹ a euphemism for high salaries and other perquisites. Promises to increase the dividends paid out were insufficient because they could be reneged upon at a later date, wrote Jensen. Rather, the solution was debt because it forced managers to guarantee that they would pay out future cash flows, thereby reducing the agency costs of free cash flow by reducing the cash flow available for spending at the discretion of managers. Jensen called this the “control hypothesis” of debt. Debt reduced the agency costs of free cash flow by reducing management’s discretion in the allocation of it because it was apportioned at inception at the direction of the LBO firm shareholders to paying down debt.

Jensen also proposed that the “threat caused by failure to make debt service payments serves as an effective motivating force to make such organizations more efficient.”³² Managers were incentivized to “overcome normal organizational resistance to retrenchment which the payout of free cash flow often requires.”³³ Buffett was less convinced about the use of debt as a motivational aid. In his 1990 *Chairman’s Letter* he wrote that large debt loads caused managers “to focus their efforts as never before, much as a dagger mounted on the steering wheel of a car could be expected to make its driver proceed with intensified care.”³⁴

We’ll acknowledge that such an attention-getter would produce a very alert driver. But another certain consequence would be a deadly—and unnecessary—accident if the car hit even the tiniest pothole or sliver of ice. The roads of business are riddled with potholes; a plan that requires dodging them all is a plan for disaster.

Pickens’ royalty trust idea cleverly avoided the LBO’s dagger-on-the-steering wheel, while removing the temptation of excess cash flow. Jensen,